Photo of Business



Step 3 —

Cost item	**Monthly figure**	**Daily equivalent (÷30)**
Fuel	₹1.5–2 lakhs	₹5,000–6,667
Driver salaries (8-9 vehicles × ~2.5 drivers × ₹21,500 avg)	~₹4.3–4.8 lakhs	~₹14,300–16,000
EMI	₹25,000	~₹8,300-8,400
Maintenance, insurance		

What are the major operational expenses?" lists driver salaries, vehicle maintenance, insurance, and fuel as the major expenses — but without classifying them by fixed vs. variable.

identifies employee salaries as the single largest expense, followed by maintenance — again, no fixed/variable

Output in an off-peak hour - 100 km is minimum per day in April – May

Output in a peak hour - 250 km is maximum per day

Field	Your entry
Business name & location	Cab Operation – Great Lakes, Chennai
Owner name & contact (consent: Y / N)	Suresh - 9840442076
Every cost listed (raw)	Vehicle Acquisition cost, EMI/Payment, Fuel Cost, Driver salary
Owner’s answer: which costs stay fixed / which grow? List	Vehicle Acquisition cost – Fixed EMI/Payment – Fixed Fuel Cost and Driver salary – Not Fixed
Output in an off-peak hour	100 km is minimum per day in April - May
Output in a peak hour	250 km is maximum per day
Owner’s answer: what they do when overwhelmed	Additional transportation requirements are handled as needed and the 24×7 Availability of substitute
Cost per trip	
2–3 customer quotes	“It was a good experience with the cab. I chose this outlet as it was offering the cheapest ride in comparison to Uber. I booked 1 cab from Mahaballipuram to Great Lakes on my first day here.”

Fixed Cost – Fuel, Driver salary, EMI, maintenance, insurance, fastag

Variable –

Field	Number
Total Fixed Cost	
Total Variable Cost	
Total Cost	
Average Fixed Cost	
Average Variable Cost	
Average Total Cost	
Marginal Cost	

1. Plot AFC, AVC, ATC and MC against output.
2. What happens to AFC as output rises, and why?
3. Is your ATC U-shaped? Does your AVC / MC actually rise at high output, or stay flat?
4. If it is U-shaped: what is the capacity bottleneck (the one oven, one blender, one chair) that makes MC rise? Tie it to the owner's answer in Phase 1-C.
5. If it is flat: explain why ATC still falls 0 what is really driving down unit cost here?
6. Compute the unit cost (ATC) at the owner's actual daily output, then recompute it if footfall doubled. Write one paragraph on what this tells the owner about pricing or expansion.